

Nob Hill. By moving a block or two down the hill she can save \$500 a month. By giving up her view she can save another \$500. By getting a slightly smaller, slightly older place she can save another \$500. If she does all three, she saves \$1,500 a month. That's a huge savings, enough to build a nest egg very quickly. She may miss the view and the extra sitting room. But by moving she saves big money now, without changing her day-to-day lifestyle one bit.

If you rent your home, can you move a few blocks away and save a pile? Can you move to the suburbs and commute by bus or train for a while? Can you move to a smaller place, or one without amenities you never use? I'm not suggesting you live in the type of burned-out, bombed-out neighborhoods that flash across the screen at the beginning of Eddie Murphy movies. But if you're like most young people who rent, you can save big money by giving up luxuries you don't appreciate, common-area facilities you don't use, and neighborhoods that are frankly out of your price range.

If you own rather than rent your home, you should consider selling. Chapter 4 explains my view that home ownership can be a lousy investment. I won't repeat my arguments here. But in trying to build your retirement stash, you should ask yourself if your home is likely to go up in value. Forget about whether it went up in the past. Ask yourself what's likely to happen in the future, with changing tax laws, real interest rates, and demographics.

If you decide your home's value is likely to go up sharply, sit tight. You're building your net worth by increasing your equity. But if you decide that further appreciation is unlikely, you may want to sell. As we saw in chapter 4, owning a home in the absence of rapid increases in housing values makes little financial sense. You're better off to sell, put your equity to work in other investments, and rent cheaper quarters.

You'll have to pay some taxes if you don't plow the gain on sale into a new home within two years. But you're going to retire young, and when you do you'll have to sell your